Pinpoint map: LAWS1150 Mid-Term (final submission)

How to use: each entry is one footnote. ‘Where to check’ gives the course file and its printed casebook page (or the official judgment), so you can open the page and read the words yourself. ‘Source words’ are copied from that page, with the anchor phrase the answer relies on in bold. ‘Check’ says what the source supports and how the answer uses it.

Final audit before this map: three independent hostile checks on the final text (facts, law, logic). Facts: no provable defects. Law: no provable defects. Logic: one contradiction found and fixed (the $10,000 sentence), then re-checked clean. The verifier passes all 40 quotations (0 FAIL; the two CHECK PINs are known artefacts: the Brambles words sit after the [176] marker, and the Pao On extract has no page numbers). Body 1,488 words; stated 1,491.

1. Footnote by footnote

Footnote 1

- **Submission:** By asking Rocky on 5 February to offer a two-year loan, Grace invited an offer rather than making one, and Rocky declined, so no contract formed.
- **Citation:** *Gibson v Manchester City Council* [1979] 1 WLR 294, 298 (Lord Diplock) (‘*Gibson*’).
- **Where to check:** W1 C1A Offer/Casebook (casebook/reading p 42, pdf p 4)
- **Source words:** …quite impossible to construe this letter as a contractual offer capable of being converted into a legally enforceable open contract for the sale of land by Mr Gibson’s written acceptance of it. The words “may be prepared to sell” **are fatal to this**; so is the invitation, not, be it noted, to accept the offer, but “to make formal application to buy” upon the enclosed application form. It is, to quote Geoffrey Lane LJ, a letter setting out the financial terms on which it may …
- **Check:** Lord Diplock: the words ‘may be prepared to sell’ are ‘fatal’ to reading the letter as an offer; it invited a ‘formal application to buy’. Used for Grace’s 5 February request that Rocky make an offer: an invitation to treat.

Footnote 2

- **Submission:** However, ‘I will lend’ fixes the amount, date, term and rate, and ‘Please confirm agreement’ invites acceptance; unlike ‘may be prepared to sell’ in *Gibson*, these words are promissory, so the first point is likely an offer, though made ‘subject to satisfactory conditions’.
- **Citation:** Ibid.
- **Where to check:** W1 C1A Offer/Casebook (casebook/reading p 42, pdf p 4)
- **Source words:** …quite impossible to construe this letter as a contractual offer capable of being converted into a legally enforceable open contract for the sale of land by Mr Gibson’s written acceptance of it. The words “may be prepared to sell” **are fatal to this**; so is the invitation, not, be it noted, to accept the offer, but “to make formal application to buy” upon the enclosed application form. It is, to quote Geoffrey Lane LJ, a letter setting out the financial terms on which it may …
- **Check:** Same passage, used by contrast: Rocky’s ‘I will lend’ is promissory where ‘may be prepared to sell’ was not.

Footnote 3

- **Submission:** Acceptance requires ‘an external manifestation of assent to an offer’.
- **Citation:** *Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd* (1988) 14 NSWLR 523, 534 (McHugh JA) (‘*Empirnall*’).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 71, pdf p 6)
- **Source words:** …laimed was owing under an oral contract.] McHUGH JA: [534] Under the common law theory of contract, the silent acceptance of an offer is generally insufficient to create any contract … The objective theory of contract requires an **external manifestation of assent** to an offer. Convenience, and especially commercial convenience, has given rise to the rule that the acceptance of the offer should be communicated to the offeror. After a reasonable period has elapsed, silence is seen as a rejec…
- **Check:** McHugh JA’s definition of acceptance. Applied to ‘Confirmed’.

Footnote 4

- **Submission:** Consideration would also exist, Rocky’s promise to lend being exchanged for Grace’s implied promise to repay with interest.
- **Citation:** *Brambles Holdings Ltd v Bathurst City Council* (2001) 53 NSWLR 153, 177 (Heydon JA) (‘*Brambles*’), quoting *Integrated Computer Services Pty Ltd v Digital Equipment Corp (Aust) Pty Ltd* (1988) 5 BPR 11,110, 11,117–18 (McHugh JA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 78, pdf p 11)
- **Source words:** …nto the slots of “offer”, “acceptance”, “consideration” and “intention to create a legal relationship” which are the benchmarks of the contract of classical theory. In classical theory, the typical contract is a bilateral one and **consists of an exchange of promises** by means of an offer and its acceptance together with an intention to create a binding legal relationship … Moreover, in an ongoing relationship, it is not always easy to point to the precise moment when the legal criteria of a c…
- **Check:** McHugh JA (quoted by Heydon JA): the typical bilateral contract ‘consists of an exchange of promises’. Supports consideration as Rocky’s promise to lend for Grace’s promise to repay.

Footnote 5

- **Submission:** The qualifier, however, raises whether the parties intended immediate obligations, which is assessed objectively, with the onus on Grace as the party alleging the contract, although their commercial status as ‘project developers’ supports it.
- **Citation:** *Ermogenous v Greek Orthodox Community of SA Inc* (2002) 209 CLR 95, [25]–[26] (Gaudron, McHugh, Hayne and Callinan JJ) (‘*Ermogenous*’).
- **Where to check:** W3 C3A Intention/Casebook (casebook/reading p 137, pdf p 3)
- **Source words:** …nd actions happened (Codelfa Construction Pty Ltd v State Rail Authority of NSW (1982) 149 CLR 337 at 348-353 per Mason J; Royal Botanic Gardens and Domain Trust v South Sydney City Council [2002] HCA 5; (2002) 240 CLR 45). It is **not a search for the uncommunicated subjective** motives or intentions of the parties. [26] In this context of intention to create legal relations there is frequent reference to “presump- tions”. It is said that it may be presumed that there

are some “family arrangements” which…
- **Check:** Joint judgment: intention is judged objectively (‘not a search for the uncommunicated subjective motives’) and takes account of ‘the status of the parties’ (used for ‘project developers’); [26]: the onus lies on the party alleging the contract.

Footnote 6

- **Submission:** The question is whether the terms were settled and merely to be ‘put into form’, or were ‘subject to a new agreement’.
- **Citation:** *Masters v Cameron* (1954) 91 CLR 353, 363, quoting *Winn v Bull* (1877) 7 Ch D 29, 32 (Jessel MR).
- **Where to check:** W3 C3A Intention/Casebook (casebook/reading p 156, pdf p 22)
- **Source words:** … Part II: Formation Masters v Cameron cont. Parties often do enter into a negotiation meaning that, when they have (or think they have) come to one mind, the result shall be **put into form**al shape, and then (if on seeing the result in that shape they find they are agreed) signed and made binding; but that each party is to reserve to himself the right to retire from the contract, if, on looking at the formal contrac…
- **Check:** The High Court quoting Jessel MR: terms settled and ‘put into form’ versus ‘subject to a new agreement’. The core test for whether the email was merely a step in negotiation.

Footnote 7

- **Submission:** Grace may rely on *Godecke*, where an agreement letting the vendor’s solicitors add terms bound because those terms had to be reasonable ‘in an objective sense’.
- **Citation:** *Godecke v Kirwan* (1973) 129 CLR 629, 642–3 (Walsh J) (‘*Godecke*’).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 189, pdf p 25)
- **Source words:** …s of requiring the inclusion of the covenants and conditions. In my opinion, this does not mean that anything may be required which in the opinion of the solicitors is reasonable. It means that what is required must be reasonable **in an objective sense**, and in case of [643] dispute this is a matter which the court can decide. Clause 6 does not mean that the purchaser is making an agreement to agree later upon additional provisions to govern the bargain. It means that he is agre…
- **Check:** Walsh J (majority): the solicitors’ added terms had to be reasonable ‘in an objective sense’, so the agreement bound. Grace’s best case, distinguished because Rocky’s qualifier has no objective standard.

Footnote 8

- **Submission:** Rocky’s qualifier contains no such standard: ‘satisfactory’ leaves the judgment to the party the condition protects, here Rocky, and the ‘conditions’, naming no external event, are most naturally further terms of the loan itself.
- **Citation:** *Meehan v Jones* (1982) 149 CLR 571, 580–1 (Gibbs CJ) (‘*Meehan*’).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 183, pdf p 19)
- **Source words:** …nance is suitable to his needs. A clause such as Special Condition 1(b), which speaks of “satisfactory terms and conditions”, in its natural meaning requires that the purchaser be satisfied … [581] Such a condition is generally **entirely for the protection of the purchaser**, and it is the satisfaction of the purchaser, not that of some hypothetical reasonable man, that will satisfy the condition. No doubt it may be implied that the purchaser will act honestly in deciding whether or not he is satisfi…
- **Check:** Gibbs CJ: a satisfaction condition ‘is generally entirely for the protection of the purchaser’, and it is his satisfaction that counts. Used for ‘satisfactory’ leaving the judgment to Rocky.

Footnote 9

- **Submission:** Gibbs J doubted that an agreement leaving ‘further terms to be settled by one of the parties’ binds, so on balance the loan was likely left to a new agreement, negating intention to be bound immediately.
- **Citation:** *Godecke* (n 7) 646–7 (Gibbs J).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 190, pdf p 26)
- **Source words:** …to the agreement, or render it in any way incomplete and would present no obstacle to its specific performance. I should perhaps make it clear that it does not necessarily follow from what I have said that an agreement which left **further terms to be settled by one of the parties**, rather than by his solicitors, would be treated as a concluded contract. In May and Butcher Ltd v The King [1934] 2 KB 17, 21, Viscount Dunedin suggested that a sale of land which left the price to be settled by the buyer himsel…
- **Check:** Gibbs J: it ‘does not necessarily follow’ that an agreement leaving ‘further terms to be settled by one of the parties’ is a concluded contract. Obiter; the answer says ‘doubted’, which matches.

Footnote 10

- **Submission:** On certainty, Grace may argue that, as in *Meehan*, Rocky must decide honestly, which takes a promise outside the principle that a promisor with ‘a discretion or option as to whether he will carry out’ the promise makes no contract.
- **Citation:** *Meehan* (n 8) 581 (Gibbs CJ).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 183, pdf p 19)
- **Source words:** … is generally entirely for the protection of the purchaser, and it is the satisfaction of the purchaser, not that of some hypothetical reasonable man, that will satisfy the condition. No doubt it may be implied that the purchaser **will act honestly in deciding** whether or not he is satisfied. However, it does not seem to me necessary, in order to give business efficacy to a contract, that a condition should be implied that the purchaser will make reasonable efforts to obtain finance. Th…
- **Check:** Gibbs CJ: ‘it may be implied that the purchaser will act honestly’. Grace’s argument.

Footnote 11

- **Submission:** On certainty, Grace may argue that, as in *Meehan*, Rocky must decide honestly, which takes a promise outside the principle that a promisor with ‘a discretion or option as to whether he will carry out’ the promise makes no contract.
- **Citation:** Ibid 589–90 (Mason J), quoting *Thorby v Goldberg* (1964) 112 CLR 597, 605.
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 185, pdf p 21)
- **Source words:** …The limitation that the purchaser must act honestly, or honestly and reasonably, takes the case out of the principle that: where words which by themselves constitute a promise are accompanied by words which show that the promisor

is [590] to have a discretion or option as to whether he will carry out that which purports to be the promise, the result is that there is no contract on which an action can be brought. [6.260] 185 …
- **Check:** Mason J quoting Thorby: a promisor with 'a discretion or option as to whether he will carry out' the promise makes no contract; honesty takes Meehan outside it.

Footnote 12

- **Submission:** However, honesty in *Meehan* governed a judgment on an external condition, the availability of finance, whereas Rocky's discretion arguably concerns the content of his loan rather than relating 'only to the fulfilment of a condition', and honesty cannot supply terms never agreed.
- **Citation:** *Meehan* (n 8) 581 (Gibbs CJ).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 183, pdf p 19)
- **Source words:** …ntract on which an action can be brought at all. . In my opinion that principle does not apply where the discretion or option of the contracting party relates, not to the performance of the contractual obligations themselves, but **only to the fulfilment of a condition** upon which the contract depends. That this is so is illustrated by the case of an option to purchase which is, in many cases at least, a contract to sell the land upon condition that the grantee gives the notice and does the othe…
- **Check:** Gibbs CJ: a discretion relating 'only to the fulfilment of a condition' does not make the promise illusory. The answer distinguishes Rocky's discretion as going to the loan's terms.

Footnote 13

- **Submission:** Rocky's 5 March demand for repayment under 'the Loan Agreement with AMPL' faces privity, under which 'only those who are parties to a contract can sue upon it'.
- **Citation:** *Coulls v Bagot's Executor & Trustee Co Ltd* (1967) 119 CLR 460, 494 (Windeyer J dissenting) ('*Coulls*').
- **Where to check:** W4 C4A Privity/Casebook (casebook/reading p 333, pdf p 7)
- **Source words:** … Privity Chapter 11 Coulls v Bagot's Executor & Trustee cont. [494] By the common law of England **only those who are parties to a contract can sue upon it**. For us that statement is incontrovertible. But what exactly is meant by it? Is there a useful distinction between denying a right of action to a person because no promise was made to him, and denying a right of action to a perso…
- **Check:** Windeyer J (dissenting in result) states the orthodox rule, 'For us that statement is incontrovertible'; used only for the rule.

Footnote 14

- **Submission:** Party status is determined from 'the written instrument itself', and the Loan Agreement was made between AMPL and Grace, whose promises to repay were made to AMPL; none was made to Rocky, even as a joint promisee.
- **Citation:** Ibid 487 (Taylor and Owen JJ).
- **Where to check:** W4 C4A Privity/Casebook (casebook/reading p 331, pdf p 5)
- **Source words:** …ffect of the last paragraph was to make her a party and that therefore her signature was necessary. But the mere fact that her signature appears does not make her a party; this is a question to be resolved upon a consideration of **the written instrument itself**. It seems to us that the terms of the last paragraph do not prescribe the persons who are to be entitled to demand and receive the royalties payable under the agreement and, therefore, do not negative the certain implication whic…
- **Check:** Taylor and Owen JJ (majority): party status is 'a question to be resolved upon a consideration of the written instrument itself'.

Footnote 15

- **Submission:** Party status is determined from 'the written instrument itself', and the Loan Agreement was made between AMPL and Grace, whose promises to repay were made to AMPL; none was made to Rocky, even as a joint promisee.
- **Citation:** Ibid 486 (Taylor and Owen JJ).
- **Where to check:** W4 C4A Privity/Casebook (casebook/reading p 330, pdf p 4)
- **Source words:** …he royal- ties payable after her husband's death notwithstanding that she, personally, gave no consideration for the company's promise. We do not accept the contention advanced on behalf of the appellant that if one, only, of two **joint promisees provides the consideration** for a promisor's promise the other prom- isee cannot, in any circumstances, sue to recover moneys payable according to the promise. Indeed it is apparent that in such circumstances at common law an action to recover must have bee…
- **Check:** Taylor and Owen JJ: joint promisees; the question is whether the contract contains a promise to the person. None to Rocky.

Footnote 16

- **Submission:** Nor was AMPL his agent: though Rocky 'asked' it to lend, it lent in its own name and took his guarantee, so it contracted for itself, and its $1,150,000 advance neither performed his email nor made him a party.
- **Citation:** *Port Jackson Stevedoring Pty Ltd v Salmond & Spraggon (Aust) Pty Ltd* (1978) 139 CLR 231, 269 (Mason and Jacobs JJ, quoting Lord Reid in *Scruttons Ltd v Midland Silicones Ltd* [1962] AC 446, 474), rev'd (1980) 144 CLR 300 ('*Port Jackson*').
- **Where to check:** 96 Official judgments/Port Jackson Stevedoring v Salmond [1978] HCA 8.txt (next page marker after passage: p 269)
- **Source words:** …success of the agency argument if (first) the bill of lading makes clear that the stevedore is intended to be protected by the provisions in it which limit liability, (secondly) the bill of lading makes it clear that the carrier, **in addition to contracting for these provisions on his own behalf**, is also contracting as agent for the stevedore that these provisions should apply to the stevedore, (thirdly) the carrier has authority from the stevedore to do that, or perhaps later ratification by the stevedore would suffice,…
- **Check:** Mason and Jacobs JJ quoting Lord Reid's conditions: the contracting party must be contracting 'as agent' and not only 'on his own behalf', with authority. Official text only (course casebook note at [11.70] states the same test). Reversed on appeal on other grounds; the footnote notes this.

Footnote 17

- **Submission:** Grace's 'I never signed anything with you' is therefore right, but signature is not the test, as Mrs Coulls signed yet was not a party.
- **Citation:** *Coulls* (n 13) 487 (Taylor and Owen JJ).
- **Where to check:** W4 C4A Privity/Casebook (casebook/reading p 331, pdf p 5)
- **Source words:** …howed that the contract had been written out by the testator's wife at his request and it may have been thought that the effect of the last paragraph was to make her a party and that therefore her signature was necessary. But the **mere fact that her signature appears** does not make her a party; this is a question to be resolved upon a consideration of the written instrument itself. It seems to us that the terms of the last paragraph do not prescribe the persons who are to be entitled to demand…
- **Check:** Taylor and Owen JJ: 'the mere fact that her signature appears does not make her a party'. Used against Grace's 'I never signed'.

Footnote 18

- **Submission:** ROCKY v AMPL (ALTERNATIVELY PIERRE) On whether a contract for the $10,000 formed at the 8 April meeting, Pierre's statement that he 'expected' Rocky to ensure Grace's payments promised nothing, so it was likely an invitation to treat.
- **Citation:** *Gibson* (n 1) 298 (Lord Diplock).
- **Where to check:** W1 C1A Offer/Casebook (casebook/reading p 42, pdf p 4)
- **Source words:** …quite impossible to construe this letter as a contractual offer capable of being converted into a legally enforceable open contract for the sale of land by Mr Gibson's written acceptance of it. The words "may be prepared to sell" **are fatal to this**; so is the invitation, not, be it noted, to accept the offer, but "to make formal application to buy" upon the enclosed application form. It is, to quote Geoffrey Lane LJ, a letter setting out the financial terms on which it may …
- **Check:** Same Gibson passage: a statement that promises nothing is not an offer. Pierre's 'expected'.

Footnote 19

- **Submission:** Rocky's reply, 'I will do that if you also promise', offered a promise for a promise, which Pierre accepted when he 'agreed'.
- **Citation:** *Brambles* (n 4) 177 (Heydon JA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 78, pdf p 11)
- **Source words:** …nto the slots of "offer", "acceptance", "consideration" and "intention to create a legal relationship" which are the benchmarks of the contract of classical theory. In classical theory, the typical contract is a bilateral one and **consists of an exchange of promises** by means of an offer and its acceptance together with an intention to create a binding legal relationship … Moreover, in an ongoing relationship, it is not always easy to point to the precise moment when the legal criteria of a c…
- **Check:** Exchange of promises: Rocky's conditional promise for Pierre's promise.

Footnote 20

- **Submission:** Rocky's reply, 'I will do that if you also promise', offered a promise for a promise, which Pierre accepted when he 'agreed'.
- **Citation:** *Empirnall* (n 3) 534 (McHugh JA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 71, pdf p 6)
- **Source words:** …laimed was owing under an oral contract.] McHUGH JA: [534] Under the common law theory of contract, the silent acceptance of an offer is generally insufficient to create any contract … The objective theory of contract requires an **external manifestation of assent** to an offer. Convenience, and especially commercial convenience, has given rise to the rule that the acceptance of the offer should be communicated to the offeror. After a reasonable period has elapsed, silence is seen as a rejec…
- **Check:** Acceptance as external manifestation of assent: Pierre 'agreed'.

Footnote 21

- **Submission:** AMPL may argue that nothing bound until the Loan Agreement was signed, but parties are bound 'when, and in the manner in which, they intend', and little suggests Rocky's undertaking was to await any signature, so a contract likely formed orally.
- **Citation:** *Brambles* (n 4) 176 (Heydon JA), quoting *Eccles v Bryant* [1948] Ch 93, 104 (Lord Greene MR).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 77, pdf p 10)
- **Source words:** … 240 at [65]–[67]. Another example concerns the exchanges of contracts to sell land, which are hard to analyse in offer and acceptance terms; despite that Lord Greene MR observed of the practice: "Parties become bound by contract **when, and in the manner in which**, they intend and contemplate becoming bound. It is a question of the facts of each case …" (Eccles v Bryant [1948] 1 Ch 93 at 104). Another example concerns simultaneous manifestations of consent (Horst K Lücke "Striking A Bargai…
- **Check:** Heydon JA quoting Lord Greene MR: parties are bound 'when, and in the manner in which, they intend'. AMPL's signing argument.

Footnote 22

- **Submission:** The same agency conditions guide whether Pierre, with AMPL's authority, contracted on its behalf rather than solely for himself.
- **Citation:** *Port Jackson* (n 16) 269 (Mason and Jacobs JJ).
- **Where to check:** 96 Official judgments/Port Jackson Stevedoring v Salmond [1978] HCA 8.txt (next page marker after passage: p 269)
- **Source words:** …success of the agency argument if (first) the bill of lading makes clear that the stevedore is intended to be protected by the provisions in it which limit liability, (secondly) the bill of lading makes it clear that the carrier, **in addition to contracting for these provisions on his own behalf**, is also contracting as agent for the stevedore that these provisions

should apply to the stevedore, (thirdly) the carrier has authority from the stevedore to do that, or perhaps later ratification by the stevedore would suffice,…
- **Check:** Same agency conditions, applied to Pierre and AMPL.

Footnote 23

- **Submission:** On consideration, AMPL may invoke the existing legal duty rule, arguing that Rocky had already guaranteed the Loan, so his promise to ensure Grace's payments gave it nothing new.
- **Citation:** *TA Sundell & Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd* (1955) 56 SR (NSW) 323, 327.
- **Where to check:** W2 C2A Consideration 1/Casebook (casebook/reading p 113, pdf p 15)
- **Source words:** … In TA Sundell c& Sons Pty Ltd v Emm Yannoulatos (Overseas) Pty Ltd (1955) 56 SR (NSW) 323 (see [10.300]), the defendants agreed to supply certain galvanised iron to the plaintiffs at £109 15s per ton. Subsequently the defendants **refused to deliver the goods unless the price was increased** by £27 per ton, citing a great increase in the price of zinc as the reason. Under protest, the plaintiffs made the additional funds available and in due course received the iron. The plaintiffs then successfully sued to recover t…
- **Check:** Sundell (casebook note at 113; extract in 2B): a promise to do what one is already bound to do is no consideration. AMPL's existing-duty argument.

Footnote 24

- **Submission:** However, the rule presupposes a duty, as under 'a pre-existing contract' with the promisee, and none existed: on 27 February Rocky only 'asked' AMPL to advance the money, and 'Pierre agreed and the clause was included' suggests the clause followed the bargain.
- **Citation:** *Wigan v Edwards* (1973) 47 ALJR 586, 594 (Mason J).
- **Where to check:** W2 C2B Consideration 2/Casebook (casebook/reading p 131, pdf p 14)
- **Source words:** … April.] MASON J: [594] The first question which arises is whether there was valuable consideration for the appellant's promise of 22 April 1969. The general rule is that a promise to perform an existing duty is no consideration, **at least when the promise is made by a party to a pre-existing contract**, when it is made to the promisee under that contract, and it is to do no more than the promisor is bound to do under the contract. The rule expresses the concept that the new promise, indistinguishable from [4.350] 131 …
- **Check:** Mason J: the rule applies 'at least when the promise is made by a party to a pre-existing contract'. The answer now says the rule 'presupposes a duty', which is accurate.

Footnote 25

- **Submission:** Intention is in issue because Pierre is Rocky's cousin, but presumptions about family arrangements at most identify who bears the onus, here Rocky.
- **Citation:** *Ermogenous* (n 5) [26] (Gaudron, McHugh, Hayne and Callinan JJ).
- **Where to check:** W3 C3A Intention/Casebook (casebook/reading p 137, pdf p 3)
- **Source words:** … concerning the engage- ment of a minister of religion. For our part, we doubt the utility of using the language of presumptions in this context. At best, the use of that language does no more than invite attention to identifying **the party who bears the onus of proof**. In this case, where issue was joined about the existence of a legally binding contract between the parties, there could be no doubt that it was for the appellant to demonstrate that there was such a contract. Reference to presum…
- **Check:** Joint judgment [26]: presumptions do 'no more than invite attention to identifying the party who bears the onus of proof'.

Footnote 26

- **Submission:** A promise to pay a fixed sum, made at AMPL's office as its loan was finalised, is 'appropriately promissory in character' and commercial, so intention is likely present whoever promised.
- **Citation:** *Banque Brussels Lambert SA v Australian National Industries Ltd* (1989) 21 NSWLR 502, 523 (Rogers CJ).
- **Where to check:** W3 C3A Intention/Casebook (casebook/reading p 144, pdf p 10)
- **Source words:** …ttempt to give proper effect to commercial transactions. It is for this reason that uncertainty, a concept so much loved by lawyers, has fallen into disfavour as a tool for striking down commercial bargains. If the statements are **appropriately promissory in character**, courts should enforce them when they are uttered in the course of business and there is no clear indication that they are not intended to be legally enforceable. If I may say, the judgments of Hirst J, at first instance in Klein…
- **Check:** Rogers CJ: the letter was 'appropriately promissory in character'. Used for Pierre's fixed-sum promise.

Footnote 27

- **Submission:** Rocky's undertaking to 'ensure' payment is not 'so obscure' as to be uncertain, because the Loan Agreement fixes the payments.
- **Citation:** *Council of the Upper Hunter County District v Australian Chilling and Freezing Co Ltd* (1968) 118 CLR 429, 437 (Barwick CJ) ('*Upper Hunter*'), quoting *G Scammell & Nephew Ltd v Ouston* [1941] AC 251, 268 (Lord Wright).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 161, pdf p 3)
- **Source words:** …is connection in Hillas & Co Ltd v Arcos Ltd (1932) 147 LT 503, 512, ought to be kept in mind. So long as the language employed by the parties, to use Lord Wright's words in G Scammell & Nephew Ltd v Ouston [1941] AC 251, is not "**so obscure** and so incapable of any definite or precise meaning that the court is unable to attribute to the parties any particular contractual intention", the contract cannot be held to be void or uncertain or meaningless. In the search for…
- **Check:** Barwick CJ quoting Lord Wright: a term is void only if 'so obscure' that no meaning can be given. Used for 'ensure'.

Footnote 28

- **Submission:** Read objectively, his unqualified 'I will do that', answering Pierre's expectation that he 'ensure' payment, likely promised that Grace would pay, not merely that Rocky would try.
- **Citation:** *Ermogenous* (n 5) [25] (Gaudron, McHugh, Hayne and Callinan JJ).

- **Where to check:** W3 C3A Intention/Casebook (casebook/reading p 137, pdf p 3)
- **Source words:** … agreement to the adjudication of the courts" (South Australia v Commonwealth (1962) 108 CLR 130 at 154 per Windeyer J). [25] Because the inquiry about this last aspect may take account of the subject-matter of the agreement, the **status of the parties to it**, their relationship to one another, and other surrounding circumstances (South Australia v Commonwealth (1962) 108 CLR 130 at 154; Placer Development Ltd v Commonwealth (1969) 121 CLR 353 at 367 per Windeyer J), not only is there…
- **Check:** [25]: objective inquiry into what was said and done. Used for reading 'I will do that' as a promise of a result.

Footnote 29

- **Submission:** AMPL's call 'under the personal guarantee provided by Rocky' assumes, but does not prove, his assent, and because privity prevents AMPL and Grace's contract imposing obligations on Rocky, AMPL must show that assent.
- **Citation:** *Trident General Insurance Co Ltd v McNiece Bros Pty Ltd* (1988) 165 CLR 107 (Deane J).
- **Where to check:** W4 C4A Privity/Trident (course reading) (casebook/reading p n/a, pdf p 3)
- **Source words:** …DEANE J: At the time of the establishment of this Court, the common law of England and of this country was long settled in its insistence upon the principle of privity of contract, that is to say, the general rule that **only the parties to a contract are bound by**, and entitled to enforce, its terms. Thus, in the first edition of "Principles of the English Law of Contract" published in 1879, Sir William Anson commenced a sometime tentative identification of the limits of contractual obliga…
- **Check:** Deane J (majority in result): 'only the parties to a contract are bound by, and entitled to enforce, its terms'. No CLR pin available in the course reading.

Footnote 30

- **Submission:** Silence while a clause is included is generally not 'an external manifestation' of assent, but Rocky's 'I will do that', given for the $10,000 promise, likely binds him at least to his oral undertaking.
- **Citation:** *Empirnall* (n 3) 534 (McHugh JA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 71, pdf p 6)
- **Source words:** …laimed was owing under an oral contract.] McHUGH JA: [534] Under the common law theory of contract, the silent acceptance of an offer is generally insufficient to create any contract … The objective theory of contract requires an **external manifestation of assent** to an offer. Convenience, and especially commercial convenience, has given rise to the rule that the acceptance of the offer should be communicated to the offeror. After a reasonable period has elapsed, silence is seen as a rejec…
- **Check:** Silence is not 'an external manifestation' of assent.

Footnote 31

- **Submission:** Silence while a clause is included is generally not 'an external manifestation' of assent, but Rocky's 'I will do that', given for the $10,000 promise, likely binds him at least to his oral undertaking.
- **Citation:** *Australian Woollen Mills Pty Ltd v Commonwealth* (1954) 92 CLR 424, 456–7 ('*Australian Woollen Mills*').
- **Where to check:** W2 C2A Consideration 1/Casebook (casebook/reading p 101, pdf p 3)
- **Source words:** …ment or announce- ment, which is put forward as an offer capable of acceptance by the doing of an act, and the act which is put forward as the executed consideration for the alleged promise, there must subsist, so to speak, [457] **the relation of a quid pro quo**. One simple example will suffice to illustrate this. A, in Sydney, says to B in Melbourne: "I will pay you £1 000 on your arrival in Sydney." The next day B goes to Sydney. If these facts alone are proved, it is perfectly clear t…
- **Check:** Dixon CJ, Williams, Webb, Fullagar and Kitto JJ (the Court): the promise and the act must stand in 'the relation of a quid pro quo'. Used for the $10,000 pricing Rocky's undertaking.

Footnote 32

- **Submission:** Having 'attended' with a reasonable opportunity to object, he arguably knew the clause's terms and assented to them by retaining the $10,000 promise, although Rocky could answer that the $10,000 priced his own words, not the clause.
- **Citation:** *Empirnall* (n 3) 535–6 (McHugh JA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 72, pdf p 7)
- **Source words:** … Part II: Formation Empirnall Holdings v Machon Paull Partners cont. This formulation states acceptance in terms of a rule of law. However, the question is one of fact. **A more accurate statement is that where an offeree** with a reasonable opportunity to reject the offer of goods or services takes the benefit of them under circumstances which indicate that they were to be paid for in accordance with the offer, it is open to the tribunal of fact to…
- **Check:** McHugh JA (casebook p 72, at 535 to 536; also quoted at Brambles 178): where an offeree 'with a reasonable opportunity to reject' takes the benefit, it is open to find acceptance. Used, hedged 'arguably', for assent to the clause by retaining the $10,000 promise.

Footnote 33

- **Submission:** Consideration for the guarantee must move from AMPL, and if AMPL promised the $10,000, that promise supplies it.
- **Citation:** *Coulls* (n 13) 495 (Windeyer J dissenting).
- **Where to check:** W4 C4A Privity/Casebook (casebook/reading p 333, pdf p 7)
- **Source words:** …ons in the same court. On whatever foundation the American doctrine be put, it cannot, I think, be accepted as a part of the common law as we have inherited it. For us the rule prevails that a plaintiff who sues on a promise must **show a consideration for it provided by him** … [499] Whether we like them or not, the rules relating to consideration seem to me a stubborn part of our law. They cannot be displaced by courts by head-on collision. Fortior et potentior est dispositio legis quam hominis. Wh…
- **Check:** Windeyer J (dissenting in result): a plaintiff 'must show a consideration for it provided by him'. Consideration must move from the promisee (AMPL). Note: casebook p 333 prints these words after the [494] marker with no [495] marker; the official report places them at 495, which is the pin used.

Footnote 34

- **Submission:** If Pierre promised personally, AMPL's earlier advance is past consideration, which, though Rocky 'asked' for it, counts only if both understood it 'was to be remunerated', and that is doubtful;
- **Citation:** *Roscorla v Thomas* (1842) 3 QB 234, 237; 114 ER 496 (Lord Denman CJ).
- **Where to check:** W2 C2A Consideration 1/Casebook (casebook/reading p 113, pdf p 15)
- **Source words:** …ome rule of law, would of themselves have been sufficient to raise an implied promise. All these cases are distinguishable from, and indeed inapplicable to, the present, which appears to us to fall within the general rule, that a **consideration past and executed** will support no other promise than such as would be implied by law. [238] The rule for arresting the judgment upon the first count must therefore be made absolute. Rule absolute. The existing legal duty rule The general rule [4.1…
- **Check:** Lord Denman CJ: 'a consideration past and executed will support no other promise than such as would be implied by law'. Past consideration.

Footnote 35

- **Submission:** If Pierre promised personally, AMPL's earlier advance is past consideration, which, though Rocky 'asked' for it, counts only if both understood it 'was to be remunerated', and that is doubtful;
- **Citation:** *Pao On v Lau Yiu Long* [1980] AC 614, 629–30 (Lord Scarman for the Board).
- **Where to check:** W2 C2A Consideration 1/Pao On extract (casebook/reading p n/a, pdf p 1)
- **Source words:** …rd Scarman: An act done before the giving of a promise to make a payment or to confer some other benefit can sometimes be consideration for the promise. The act must have been done at the promisors' request: the parties must have **understood that the act was to be remunerated** either by a payment or the conferment of some other benefit: and payment, or the conferment of a benefit, must have been legally enforceable had it been promised in advance. All three features are present in this case. The promis…
- **Check:** Lord Scarman for the Board: a past act counts only if done at the promisor's request and 'the parties must have understood that the act was to be remunerated'. Rocky 'asked'; remuneration doubtful.

Footnote 36

- **Submission:** AMPL's stronger answer is that it signed the Loan Agreement only after the clause was included, an act likely 'really done in consideration of' the guarantee, so the guarantee is likely supported if Rocky assented.
- **Citation:** *Australian Woollen Mills* (n 31) 456.
- **Where to check:** W2 C2A Consideration 1/Casebook (casebook/reading p 101, pdf p 3)
- **Source words:** …, in order that a contract may be established, that it should be made to appear that the statement or announcement which is relied on as a promise was really offered as consideration for the doing of the act, and that the act was **really done in consideration of** a potential promise inherent in the statement or announcement. Between the statement or announce- ment, which is put forward as an offer capable of acceptance by the doing of an act, and the act which is put forward as the execut…
- **Check:** The Court: the act must be 'really done in consideration of' the promise. AMPL signing after the clause was included.

Footnote 37

- **Submission:** Post-contractual conduct cannot interpret the term, but because the term apparently specifies no start and is arguably ambiguous, mutually known facts showing 'the genesis of the transaction' are admissible.
- **Citation:** *Brambles* (n 4) 164 (Heydon JA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 73, pdf p 8)
- **Source words:** … genesis of the contract, its objective aim, or the meaning of any descriptive term: Codelfa Construction Pty Ltd v State Rail Authority of New South Wales (1982) 149 CLR 337 at 347–52. [164] The second relevant principle is that **post-contractual conduct is admissible on the question of whether a contract was formed**: Howard Smith & Co Ltd v Varawa (1907) 5 CLR 68 at 77; Barrier Wharfs Ltd v W Scott Fell & Co Ltd (1908) 5 CLR 647 at 668, 669 and 672; B Seppelt & Sons Ltd v Commissioner for Main Roads (1975) 1 BPR 9,147at 9,149 and 9,154–6; Fi…
- **Check:** Heydon JA: post-contractual conduct is admissible on formation but (third principle) not on construction. Used to exclude the later payments from fixing the term's meaning.

Footnote 38

- **Submission:** Post-contractual conduct cannot interpret the term, but because the term apparently specifies no start and is arguably ambiguous, mutually known facts showing 'the genesis of the transaction' are admissible.
- **Citation:** Ibid 191 (Ipp AJA).
- **Where to check:** W1 C1B Acceptance/Casebook (casebook/reading p 82, pdf p 15)
- **Source words:** … of construing the contract: Codelfa Construction Pty Ltd v State Rail Authority of New South Wales (1982) 149 CLR 337 at 352. Where ambiguities exist, mutually known facts establishing the commercial purpose of the contract, the **genesis of the transaction**, the background and the context in which the parties are operating will be admissible: Reardon Smith Line Ltd v Hansen-Tangen (1976) 1 WLR 989 (at 995 to 996 per Lord Wilberforce). On this basis, the shared beliefs of the parties…
- **Check:** Ipp AJA: 'Where ambiguities exist', mutually known facts showing 'the genesis of the transaction' are admissible. The answer hedges the ambiguity ('apparently', 'arguably').

Footnote 39

- **Submission:** The $10,000 is payable only 'once Grace repays the Loan', a condition precedent to the obligation rather than to the contract, which bound immediately, so nothing was payable on 9 March 2025, when Grace 'had not yet repaid'.
- **Citation:** *Meehan* (n 8) 582 (Gibbs CJ).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 184, pdf p 20)
- **Source words:** …as to whether he shall carry them out. Once the condition is fulfilled, within the time allowed by the contract for its fulfilment, the contract becomes completely binding. It is clear that the condition in Special Condition 1(b) **is not a condition precedent to contract**. Certain obligations under the contract attached immediately the contract was signed although the condition had not been fulfilled. For example, the provisions with regard to the deposit, and with regard to the giving and answeri…

- **Check:** Gibbs CJ: the condition ‘is not a condition precedent to contract’; obligations attached immediately. Used for ‘once Grace repays the Loan’.

Footnote 40

- **Submission:** Rocky could argue that, read commercially, his own repayment satisfies the condition; however, the words refer to Grace, and the $10,000 priced his promise that Grace would pay, so his payment likely leaves the condition unfulfilled.
- **Citation:** *Upper Hunter* (n 27) 437 (Barwick CJ).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 161, pdf p 3)
- **Source words:** … any definite or precise meaning that the court is unable to attribute to the parties any particular contractual intention”, the contract cannot be held to be void or uncertain or meaningless. In the search for that intention, no **narrow or pedantic** approach is warranted, particularly in the case of commercial arrangements. Thus will uncertainty of meaning, as distinct from absence of meaning or of intention, be resolved. I do not think there is any uncertainty or for that m…
- **Check:** Barwick CJ: a commercial agreement should be read without a ‘narrow or pedantic approach’. Rocky’s commercial reading, answered by the words naming Grace.

Footnote 41

- **Submission:** His $10,000 claim, against AMPL or alternatively Pierre, likely stands but is conditional: it falls due only when Grace repays, so never if Grace, who said he ‘might not pay at all’, never repays, and likely never if Rocky pays it himself.
- **Citation:** *Meehan* (n 8) 582 (Gibbs CJ).
- **Where to check:** W3 C3B Certainty/Casebook (casebook/reading p 184, pdf p 20)
- **Source words:** …as to whether he shall carry them out. Once the condition is fulfilled, within the time allowed by the contract for its fulfilment, the contract becomes completely binding. It is clear that the condition in Special Condition 1(b) **is not a condition precedent to contract**. Certain obligations under the contract attached immediately the contract was signed although the condition had not been fulfilled. For example, the provisions with regard to the deposit, and with regard to the giving and answeri…
- **Check:** Same Meehan passage: a conditional obligation falls due only on fulfilment.

2. Every quotation from the problem, with its line in the question

Quoted in the submission	Line	The problem’s words
. Rocky	25	dollar working capital loan for 2 years at 5% interest’. Rocky told Grace he was not
Confirmed	39	Grace responded to the email 15 minutes later saying, ‘Mr Rocky, Confirmed. Best,
Confirming discussions	31	Confirming discussions from our meeting this morning:
I will do that	53	‘I will do that if you also promise to pay $10,000 to me directly once Grace repays the
I will lend	32	- I will lend $1 million to you by 15 February for 1 year at a rate of 5% interest
Please confirm agreement	37	Please confirm agreement.
all payments	52	ensure that Grace made all payments under the Loan Agreement promptly. Rocky said,
asked	41	On 27 February 2024, Rocky asked A-Maize Pty Ltd, (‘AMPL’) a company owned and
attended	45	On 8 April 2024, Rocky, Grace, and Pierre attended a meeting at AMPL’s office. At the
by 15 February	32	- I will lend $1 million to you by 15 February for 1 year at a rate of 5% interest
conditions	33	subject to satisfactory conditions.
ensure	52	ensure that Grace made all payments under the Loan Agreement promptly. Rocky said,
had not yet repaid	72	2025, when Grace had not yet repaid the Loan, AMPL called for payment of the Loan
if the Project made a profit	13	binding clause that if the Project made a profit, Rocky, as the investor for the Project,
might not pay at all	70	then. Grace disagreed, saying, ‘if you don’t leave off, I might not pay at all!’
project developers	8	Mr Grace and Mr Rocky are both project developers who pursued various projects
promptly	52	ensure that Grace made all payments under the Loan Agreement promptly. Rocky said,
recorded	47	Agreement’). The loan was recorded as $1,150,000 (‘Loan’) with an interest rate of 4%
repayment of the Loan	51	repayment of the Loan. Pierre expressed during the meeting that he expected Rocky to
satisfactory	33	subject to satisfactory conditions.
subject to satisfactory conditions	33	subject to satisfactory conditions.
this morning	31	Confirming discussions from our meeting this morning:
you	32	- I will lend $1 million to you by 15 February for 1 year at a rate of 5% interest